RESERVE BANK OF INDIA - DEPARTMENT OF PAYMENT AND SETTLEMENT SYSTEMS
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Guidelines on Regulation of Payment Aggregators and Payment Gateways

1. Scope and Authorization:
- Payment Aggregators (PAs): Entities that facilitate e-commerce sites and merchants to accept payment instruments from customers. PAs pool payments, receive them in escrow, and settle to merchants.
- Non-bank Payment Aggregators require mandatory prior authorization from RBI under the PSS Act, 2007.

2. Capital and Net-Worth Requirements:
(a) Non-bank PAs existing as on the date of this circular shall achieve a minimum net-worth of Rs. 15 crore by March 31, 2021, and a net-worth of Rs. 25 crore by the end of third financial year.
(b) New applicants for PA authorization must have a minimum net-worth of Rs. 15 crore at application, and attain Rs. 25 crore within three financial years of grant of authorization.
(c) Net-worth shall consist of paid-up equity capital, preference shares, and free reserves.

3. Escrow Account Operations and Settlement:
(a) Non-bank PAs shall maintain the funds collected on behalf of merchants in an Escrow Account with a Scheduled Commercial Bank.
(b) The amount in escrow shall be used strictly for settlement to merchants, refund to customers, and payment of commission to PAs. No interest shall be payable to merchants.
(c) Final settlement to merchants shall be completed within T+1 / T+2 business days.